

ETHIOPIA

Table 1 **2022**

Population, million	123.5
GDP, current US\$ billion	131.8
GDP per capita, current US\$	1067.3
International poverty rate (\$2.15) ^a	27.0
Lower middle-income poverty rate (\$3.65) ^a	65.0
Upper middle-income poverty rate (\$6.85) ^a	90.9
Gini index ^a	35.0
School enrollment, primary (% gross) ^b	106.0
Life expectancy at birth, years ^b	65.4
Total GHG emissions (mtCO2e)	198.0

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2015), 2017 PPPs.

b/ WDI for School enrollment (2021); Life expectancy (2020).

Strong agriculture and services output resulted in higher-than-expected GDP growth estimated at 6.4 percent in FY22. But growth remains lower than pre-COVID-19 levels and the economy remains vulnerable to shocks such as global food and supply disruptions. Fiscal and external buffers are nearly exhausted, posing a risk to macroeconomic stability, while poverty and inequality are elevated. As these shocks abate, and as peace endures in northern Ethiopia, an opportunity is emerging to restore macroeconomic balance and revive reforms to accelerate growth and poverty reduction.

Key conditions and challenges

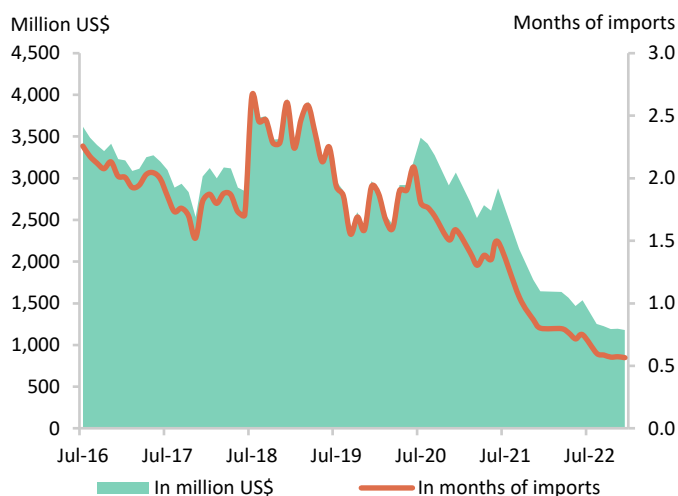
The government's 2019 Homegrown Economic Reform Program aimed to shift the economy from state-led growth and investment toward greater private sector participation and market orientation. The program emphasized growth in energy, logistics, and telecommunications; greater competition; higher exports; and fewer market distortions. A critical priority was establishing a competitive foreign exchange market to boost competitiveness and reduce input shortages in the economy. Implementation of the reforms, however, has been uneven. Multiple shocks (COVID-19, persistent droughts, internal conflicts, and global commodity price shocks) have increased economic costs, exacerbated macroeconomic distortions, and heightened vulnerabilities. This has greatly slowed reform progress and severely affected lives and livelihoods. Already acute food insecurity has worsened due to global food and energy price shocks, disruptions to grain supply due to Russia's invasion of Ukraine, and below-average local crop production. Given the deteriorating humanitarian conditions in Ethiopia due to the combination of climate shocks, disease outbreaks, armed conflict, and the socio-economic impacts of COVID-19, about 28.6 million people – around one-fourth of the country's population – need humanitarian assistance in 2023, an increase of about 2.7 million from 2022.

As progress continues in implementing a peace agreement between the federal government and the Tigray People's Liberation Front, there is a renewed opportunity to revive the economic reform agenda. The government is expected to soon launch a revised version of the reform program, which is expected to set out an agenda to reduce macroeconomic imbalances, remove exchange rate and other market distortions, and advance much-needed structural reforms to increase Ethiopia's long-term economic growth potential. A strong focus on protecting the poorest from potential adjustment costs is critical to ensure that reforms are effective and sustainable.

Recent developments

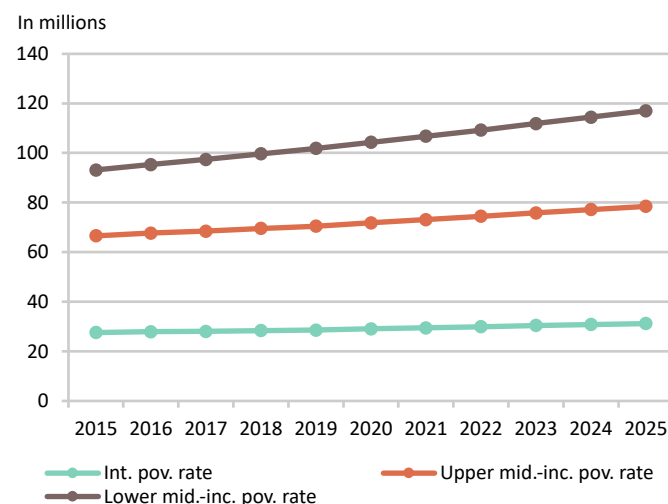
Official growth estimates for FY22 (6.4 percent) were higher than expected due to strong contributions from services and agriculture. Industrial growth, however, slowed as worsening foreign exchange shortages, the conflict in the northern part of the country, and the suspension of preferential US market access hurt manufacturing and construction activities. External financing pressures intensified in FY22. Costlier fuel, fertilizer, and food imports and a sharp fall in official development assistance increased the current account deficit to 4 percent of GDP from 2.9 percent in FY21. The larger current account deficit and higher debt-service costs sharply reduced official foreign exchange reserves, which fell to just 2.5 weeks of imports by the end of 2022. This shortage has

FIGURE 1 Ethiopia / Gross foreign exchange reserves



Source: National Bank of Ethiopia.

FIGURE 2 Ethiopia / Number of poor



Source: World Bank.

contributed to a spike in parallel market premiums, which have remained above 80 percent since October 2022.

Despite a sharp fall in public capital spending, the continuing decline in revenue collection (8.1 percent of GDP in FY22 compared with 10.2 percent in FY21) increased the fiscal deficit to 4.2 percent of GDP (from 2.8 percent in FY21). With less external financing available, the fiscal deficit was mainly domestically financed – including 1.3 percent of GDP in direct monetary financing. Public debt levels dropped in FY22 as the disbursement of external loans remained constrained and as the increase in domestic borrowing fell short of inflation.

Direct monetary financing is the main driver of inflation, which remained high at 33.9 percent in January 2023. Overlapping crises – the war in Ukraine, persistent droughts, and a surge in global food and fuel prices – exacerbated the already high inflation. Staple food prices remain well above average and are especially high in conflict and drought-affected areas. Higher nonfood inflation from the phased removal of fuel subsidies, wider parallel market premiums, and looser fiscal policies also contributed to inflation.

The poor, who are net consumers of food, remain at high risk of falling into extreme poverty and food insecurity. Poverty reduction is stalling and about 0.43 million people are expected to have fallen into poverty in 2022.

Outlook

Growth is expected to remain relatively strong at 6 percent in FY23 as the effects of recent multiple domestic and external shocks dissipate. Higher crop production in the north (contingent on enduring peace), and the abatement of external price and supply shocks, are likely to moderate inflation and poverty risks. Swift implementation of critical macroeconomic and structural reforms in the forthcoming Homegrown Economic Reform 2.0 could lead to even higher growth in FY23 and the medium term. The most significant downside risk is the resumption of significant conflict which could complicate implementation of reforms and foreign exchange inflows from development assistance and investment.

Fiscal pressures are expected to persist in FY23 but abate over the medium term due to revenue reforms to strengthen value-added tax and excise collections, including introducing new tax sources (such as property taxes). These are expected to support fiscal consolidation and ease budget financing pressures. Foreign exchange reforms will be critical to restoring productivity-led growth by removing price distortions, improving resource allocation, and alleviating external payments risks. Debt treatment under the G-20 Common Framework and the resumption of official external flows will also be critical to ease Ethiopia's external financing pressures. Contingent on the implementation of reforms, inflation, which will remain high through FY24, is expected to fall over the medium term as supply bottlenecks ease and fiscal and monetary policies are tightened.

The stagnation in poverty reduction is driven by armed conflict, persistent droughts in lowland regions, the war in Ukraine, and high inflation. Further shocks could push millions more into poverty and increase spatial inequalities. Accelerating reforms to rebuild fiscal and social buffers will be critical to mitigating this risk.

TABLE 2 Ethiopia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019/20	2020/21	2021/22e	2022/23f	2023/24f	2024/25f
Real GDP growth, at constant market prices	6.1	6.3	6.4	6.0	6.6	7.0
Private Consumption	5.0	3.0	4.5	5.6	5.9	6.4
Government Consumption	0.6	12.2	1.5	1.1	3.0	10.1
Gross Fixed Capital Investment	5.6	7.6	11.0	5.9	6.7	7.1
Exports, Goods and Services	3.4	5.5	11.7	8.8	9.1	9.7
Imports, Goods and Services	-1.9	2.0	10.8	2.7	3.6	8.1
Real GDP growth, at constant factor prices	6.1	6.3	6.4	6.0	6.6	7.0
Agriculture	4.3	5.5	6.0	6.3	6.5	6.7
Industry	9.6	7.3	4.8	2.3	3.2	3.6
Services	5.2	6.3	7.9	8.2	8.8	9.3
Inflation (Consumer Price Index)	19.9	20.2	33.7	34.6	32.6	10.4
Current Account Balance (% of GDP)	-4.1	-2.7	-4.0	-3.1	-3.3	-2.9
Fiscal Balance (% of GDP)	-2.8	-2.8	-4.2	-3.4	-2.7	-2.1
Revenues (% of GDP)	11.7	11.2	8.3	7.8	8.3	9.1
Debt (% of GDP)	56.5	56.6	54.4	49.6	41.3	35.0
Primary Balance (% of GDP)	-2.4	-2.2	-3.6	-2.8	-2.2	-1.7
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	24.8	24.5	24.3	24.0	23.7	23.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	61.3	60.8	60.3	59.9	59.4	58.8
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	89.0	88.7	88.5	88.2	88.0	87.7
GHG emissions growth (mtCO2e)	2.2	2.8	2.8	2.5	2.5	2.4
Energy related GHG emissions (% of total)	15.3	15.2	15.1	14.8	14.6	14.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2010-HICES and 2015-HICES. Actual data: 2015. Nowcast: 2016-2022. Forecasts are from 2023 to 2025.

b/ Projection using annualized elasticity (2010-2015) with pass-through = 0.87 based on GDP per capita in constant LCU.

Note: Growth projections reflect limited available information, and are subject to revision as better data becomes available.